#10 · 3.4% of marks

# Ch 1 — Financial Policy & Corporate Strategy

Pure theory + one numerical (SGR / EFR). SM TYK theory Qs: **interface of financial policy and strategic management** (para 5) · **balancing financial goals vis-à-vis sustainable growth** (para 6).

## ① Advanced role of the CFO incl. value creation (SM 1)

*Traditional: shareholder **wealth maximisation**, financial health, financial controls; governance, compliance, ethics. Now (globalisation, information growth, pandemic) also **strategic & operational decision-making**. Post-pandemic areas:*

- → ***(a) Risk management** — oversee the whole risk-management framework*
- → ***(b) Supply chain** — financial viability of SCM for sustainable growth*
- → ***(c) M&A and corporate restructuring** — strategic; an error can collapse the business*
- → ***(d) ESG financing** — shift from traditional to **sustainability financing***
- → *CFOs now lead **value creation**, on a sustainable basis over the long term.*

## ② Strategic financial decision-making framework (SM 2)

- → *Capital investment = **springboard for wealth creation**; capital is the limiting factor → strategic allocation of limited funds*
- → *3 essentials: clear, realistic **strategy** · financial resources, controls & systems (**finance**) · right **management** team & processes → **Strategy + Finance + Management = Fundamentals of Business***
- → ***Strategy** = long-term direction and scope to achieve competitive advantage through configuration of resources in a changing environment, fulfilling stakeholders' aspirations. Investors care about profit **and its likelihood** — risk-return trade-off*
- → ***Strategic financial management** = application of FM techniques to strategic decisions to achieve the decision-maker's objectives; combines **backward-looking** accounting with **forward-looking** FM; identifies strategies that **maximise market value**; allocates scarce capital; implements and monitors*

### Functions (SM 2.2) — 5

*Continual search for best opportunities · selection of best profitable ones · optimal mix of funds · systems of internal control · analysis of results for future decisions. Strategy = long term (senior mgmt) · tactics = intermediate (middle) · operations = short term (line).*

### Key decisions — 4

***Financing** (equity–debt mix) · **Investment** (long-term projects, risk vs return) · **Dividend** (payout vs reinvestment) · **Portfolio** (judge each investment by its contribution to the **aggregate** performance of the corporation, not in isolation)*

# ③ Strategy at different hierarchy levels (SM 3)

| Level | SM |
|---|---|
| **Corporate** | Which businesses to compete in; develop & coordinate the portfolio. Answers 3 questions: **Suitability** (will it achieve the common objective) · **Feasibility** (kind and number of resources needed) · **Acceptability** (stakeholders' satisfaction — financial and non-financial) |
| **Business unit (SBU)** | Any profit centre planned independently; coordination of operating units; building & sustaining **competitive advantage** |
| **Functional** | Departments — R&D, operations, marketing, finance, HR; business processes & value chain; give input upward, then translate higher strategy into action plans |

**Finance has the highest importance** in top-down / bottom-up planning: corporate strategy = **deployment** of resources; financial strategy = **mobilisation and effective use of money** — the most critical resource; others can be mobilised with an adequate monetary base.

# ④ Financial planning (SM 4)

→ Backbone of business & corporate planning; defines the feasible area of operation. **Financial Planning = Financial Resources + Financial Tools + Financial Goals**

→ Outcomes: **financial objectives** (set first, consistent with mission) · **financial decision-making** · **financial measures** to evaluate performance (ratios, cash-flow analysis)

# ⑤ Interface of financial policy & strategic management (SM 5) — TYK Q1

**Starting point and end point of an organisation is money.** No business can run or expand without an internally and / or externally mobilised financial base.

1. **Sources of finance & capital structure** — the most important dimensions of a strategic plan. Ownership capital (equity, preference), borrowed (debentures), public deposits (short / medium term; may pay more than banks), overdraft, cash credit, bill discounting, bank loans, trade credit. D/E norms: **1 : 1 public sector**, **2 : 1 private sector**; higher for capital-intensive, high-cost priority-sector and backward-region projects
2. **Investment & fund allocation** — policies for fixed and current assets. Proposals of 3 types: **new product** · **more capacity** for an existing product · **cost reduction** / efficiency. Compare within group by capital budgeting; **project evaluation & selection** are the key jobs; best allocation under resource constraints
3. **Dividend policy** — payout vs retention; dividend = earnings that cannot be profitably used. Stable dividend → positive price impact; constant % of earnings → flexibility, signals lower risk; minimum DPS + extra in good years; weigh investment needs, shareholder preference, cash vs stock dividend

Financial policy can't be framed in isolation — investors constantly evaluate it; frame it **during corporate planning**, not later. Interdependence: sometimes **strategy is the cause and financial policy the effect**, sometimes the reverse.

# ⑥ Balancing financial goals vs sustainable growth (SM 6) — TYK Q2

- → Forces managers to consider the financial consequences of sales increases; set growth goals consistent with operating & financial policies — conflict if they aren't
- → Right distribution of resources for **current and future** stakeholders: **"save fuel" campaign** = demarketing, a **stable growth strategy** of the oil industry under resource constraints. Variants: **incremental growth, profit, pause** strategies
- → Growth **too fast or too slow** both hurt — keep actual growth close to the sustainable growth ratio

**Financially sustainable — 7 (CIVICUS)**

More than one **source** of income · more than one **way** of generating income · regular strategic, action & financial planning · adequate financial systems · good public image · value clarity · **financial autonomy**

**Sustainable organisation — 6 (CIVICUS)**

Clear strategic direction · scan environment for opportunities · attract, manage, retain competent staff · adequate admin & financial infrastructure · demonstrate effectiveness & impact to leverage resources · community support & involvement

# ⑦ Sustainable growth rate (SM 6.1)

**SGR (Robert C. Higgins)** = maximum growth in sales achievable given profitability, asset utilisation, desired payout and debt ratios — how fast a firm can grow **without borrowing more** (beyond it, external funds). **SGR = ROE × (1 − dividend payout ratio)**. Variables: net margin, asset turnover, assets-to-equity, retention rate.

- → **Assumes** the firm wants to: (1) keep a target capital structure **without issuing new equity** (2) keep a target payout (3) grow sales as fast as the market allows. If willing to issue equity → no financial constraint on growth
- → Twin cornerstones: **growth strategy** and **growth capability** — neglect either and long-term growth fails
- → Sustainability: **very weak** — total stock of capital assets constant · **weak** — preserve critical resources · **strong** — preserve resources under primacy of **ecosystem** functioning
- → Useful when a borrower seeks more loans → too much debt: raise equity or slow growth to the sustainable level
- → **Mature firms** (actual < SGR): use surplus cash — higher dividends, buybacks, repay debt, hold liquid assets (each **lowers** SGR) — or **acquire** fast-growing companies
- → Growth from **volume and inflation**; inflationary asset growth must be financed like real growth → more external finance, higher historical-cost D/E → if creditors fix D/E, **inflation lowers SGR**
- → **Mitsubishi Corporation**: dropped fixed 3-year midterm plans for a ~2020 growth vision — "future pull" to double the business, clear portfolio strategy (proactive reshaping), growth with financial discipline

NUMERICAL

# ⑧ External Funding Requirement (SM 6.2)

*To grow, both current and non-current assets must rise; with constraints on D/E or current ratio, find how much external funding is needed and of what type.* ***Analytical approach****: project each balance-sheet item against sales under the conditions.*

***Formula approach****:*

**$EFR = (TA \div S) \times \Delta S - (\text{spontaneous payables \& liabilities} \div S) \times \Delta S - m \times S_1 \times (1 - d)$**

*m = net profit margin · $S_1$ = revised sales · d = payout. Then split between short-term, long-term debt and equity using the given conditions.*

| SM Illustration — Sundry Ltd (₹ lakh) | Working |
|---|---|
| TA 14,000; payables 2,000; sales 6,000 +20%; margin 4%; payout 50% | Retained = 7,200 × 4% × 50% = **144**; extra assets = (14,000 − 2,000) × 20% = 2,400 → **EFR = 2,256** |
| Sales : (ST loan + payables) = 4 : 3 | New = ¾ × 7,200 = 5,400; existing 2,400 + 3,000 = 5,400 → **short-term nil** |
| FA : LT loan = 1.5 | 7,200 ÷ 1.5 = 4,800 − 4,000 → **long-term 800** |
| Balance from equity | 2,256 − 0 − 800 = **1,456**; check D/E = 4,800 ÷ (3,000 + 1,456 + 2,000 + 144) = **0.727** ≤ 1.5 ✓ |

**⚠ TRAP**

*Deduct only* ***spontaneous*** *liabilities (payables & provisions) — not loans. Retained earnings use* ***revised*** *sales. Always verify the stated D/E or ratio condition at the end.*

# ⑨ Correlation — how Ch 1 actually connects

| Ch 1 idea | The actual link (app-written cross-reference; the Ch 1 side is SM) |
|---|---|
| SGR = ROE × (1 − payout) | **Ch 5**: the same g = b × r drives Gordon's model $P = D_1 \div (K_e - g)$ and Gordon's earnings model $EPS_1(1 - b) \div (K_e - br)$. If $r > K_e$, retaining more raises both growth and value. |
| Mature firm's surplus cash | **Ch 14**: buybacks raise EPS / ROE (SM 9.4 effects) and lower SGR; acquiring fast-growing firms raises actual growth. |
| Portfolio decisions | **Ch 6**: judge an investment by its contribution to total risk-return, not alone — the Markowitz idea applied to a corporation's projects. |
| Investment decisions under risk | **Ch 3**: NPV, sensitivity, real options; capital rationing = "allocation of limited funds". |
| CFO roles: risk, ESG | **Ch 2**: the risk framework the CFO now owns — strategic, compliance, operational, financial risk; VaR limits for treasury dealers. |
| Inflation lowers SGR | **Ch 5 / Ch 3**: nominal vs real — inflated asset values need real financing even with no real growth. |

# ① Financial Policy and Corporate Strategy — what ICAI asked (Sep 2025, Jan 2026, May 2026)

***12 marks*** *set across the last three attempts (3.4% of marks set). Question labels and marks are ICAI's; the one-line concept descriptions are app-written.*

| Attempt | Question | Marks | Concept tested |
|---|---|---|---|
| *Sep 2025* | *Q2(c)* | *4* | *Key points that make an organisation financially sustainable (Theory)* |
| *Jan 2026* | *Q2(b)* | *4* | *External funding requirement (AFN) next year at 65% and 95% fixed-asset capacity usage with a given sales growth and payout ratio (Numerical)* |
| *May 2026* | *Q1(c)* | *4* | *Sustainable growth rate versus target growth: concerns on an additional loan request and two alternative courses of action (Theory)* |

*What follows, exactly as ICAI printed it in the AFM study material: (1) Test Your Knowledge theory questions, with the SM paragraph ICAI's answer points to; (2) every SM illustration with ICAI's solution, grouped by SM section; (3) Test Your Knowledge practical questions with ICAI's solutions.*

# Theory questions (SM Test Your Knowledge) with ICAI answers

## Theory Q1

1. Explain the Interface of Financial Policy and Strategic Management.

**ICAI answer: "Please refer paragraph 5" – SM paragraph 5 reproduced**

### 5. INTERFACE OF FINANCIAL POLICY AND STRATEGIC MANAGEMENT

The interface of strategic management and financial policy will be clearly understood if we appreciate the fact that the starting point of an organization is money and the end point of that organization is also money. No organization can run an existing business and promote a new expansion project without a suitable internally mobilized financial base or both i.e. internally and externally mobilized financial base.

Sources of finance and capital structure are the most important dimensions of a strategic plan. The need for fund mobilization to support the expansion activity of firm is very vital for any organization. The generation of funds may arise out of ownership capital and or borrowed capital. A company may issue equity shares and/or preference shares for mobilizing ownership capital and debentures to raise borrowed capital. Public deposits, for a fixed time period, have also become a major source of short and medium-term finance. Organizations may offer higher rates of interest than banking institutions to attract investors and raise fund. The overdraft, cash credits, bill discounting, bank loan and trade credit are the other sources of short-term finance.

Along with the mobilization of funds, policy makers should decide on the capital structure to indicate the desired mix of equity capital and debt capital. There are some norms for debt equity ratio which need to be followed for minimizing the risks of excessive loans. For instance, in case of public sector organizations, the norm is 1:1 ratio and for private sector firms, the norm is 2:1 ratio. However, this ratio in its ideal form varies from industry to industry. It also depends on the planning mode of the organization. For capital intensive industries, the proportion of debt to equity is much higher. Similar is the case for high cost projects in priority sectors and for projects in underdeveloped regions.

Another important dimension of strategic management and financial policy interface is the investment and fund allocation decisions. A planner has to frame policies for regulating investments in fixed assets and for restraining of current assets. Investment proposals mooted by different business units may be divided into three groups. One type of proposal will be for addition of a new product by the firm. Another type of proposal will be to increase the level of operation of an existing product through either an increase in capacity in the existing plant or setting up of another plant for meeting additional capacity requirement. The last is for cost reduction and efficient utilization of resources through a new approach and/or closer monitoring of the different critical activities. Now, given these three types of proposals a planner should evaluate each one of them by making within group comparison in the light of capital budgeting exercise. In fact, project evaluation and project selection are the two most important jobs under fund allocation. Planner's task is to make the best possible allocation under resource constraints.

Dividend policy is yet another area for making financial policy decisions affecting the strategic performance of the company. A close interface is needed to frame the policy to be beneficial for all. Dividend policy decision deals with the extent of earnings to be distributed as dividend and the extent of earnings to be retained for future expansion scheme of the firm. From the point of view of long-term funding of business growth, dividend can be considered as that part of total earnings, which cannot be profitably utilized by the company. Stability of the dividend payment is a desirable consideration that can have a positive impact on share prices. The alternative policy of paying a constant percentage of the net earnings may be preferable from the point of view of both flexibility of the firm and ability of the firm. It also gives a message of lesser risk for the investors. Yet some other companies follow a different alternative. They pay a minimum dividend per share and additional dividend when earnings are higher than the normal earnings. In actual practice, investment opportunities and financial needs of the firm and the shareholders preference for dividend against capital gains resulting out of share are to be taken into consideration for arriving at the right dividend policy. Alternatives like cash dividend and stock dividend are also to be examined while working out an ideal dividend policy that supports and promotes the corporate strategy of the company.

Thus, the financial policy of a company cannot be worked out in isolation of other functional policies. It has a wider appeal and closer link with the overall organizational performance and direction of growth. These policies being related to external awareness about the firm, especially the awareness of the investors about the firm, in respect of its internal performance. There is always a process of evaluation active in the minds of the current and future stake holders of the company. As a result preference and patronage for the company depends significantly on the financial policy framework. Hence, attention of the corporate planners must be drawn while framing the financial policies not at a later stage but during the stage of corporate planning itself. The nature of interdependence is the crucial factor to be studied and modelled by using an in-depth analytical approach. This is a very difficult task compared to usual cause and effect study because corporate strategy is the cause and financial policy is the effect and sometimes financial policy is the cause and corporate strategy is the effect.

*ICAI answer: "Please refer paragraph 5" – SM paragraph 5 reproduced*

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## Theory Q2

**2.** Write a short note on Balancing Financial Goals vis-a-vis Sustainable Growth.

**ICAI answer: "Please refer paragraph 6" – SM paragraph 6 reproduced**

### 6. BALANCING FINANCIAL GOALS VIS-A-VIS SUSTAINABLE GROWTH

The concept of sustainable growth can be helpful for planning healthy corporate growth. This concept forces managers to consider the financial consequences of sales increases and to set sales growth goals that are consistent with the operating and financial policies of the firm. Often, a conflict can arise if growth objectives are not consistent with the value of the organization's sustainable

growth. Question concerning right distribution of resources may take a difficult shape if we take into consideration the rightness not for the current stakeholders but for the future stakeholders also. To take an illustration, let us refer to fuel industry where resources are limited in quantity and a judicial use of resources is needed to cater to the need of the future customers along with the need of the present customers. One may have noticed the save fuel campaign, a demarketing campaign that deviates from the usual approach of sales growth strategy and preaches for conservation of fuel for their use across generation. This is an example of stable growth strategy adopted by the oil industry as a whole under resource constraints and the long run objective of survival over years. Incremental growth strategy, profit strategy and pause strategy are other variants of stable growth strategy.

Sustainable growth is important to enterprise long-term development. Too fast or too slow growth will go against enterprise growth and development, so financial should play important role in enterprise development, adopt suitable financial policy initiative to make sure enterprise growth speed close to sustainable growth ratio and have sustainable healthy development.

**What makes an organisation financially sustainable?**

To be financially sustainable, an organisation must:

- have more than one source of income;
- have more than one way of generating income;
- do strategic, action and financial planning regularly;
- have adequate financial systems;
- have a good public image;
- be clear about its values (value clarity); and
- have financial autonomy.

*Source: CIVICUS "Developing a Financing Strategy".*

## 6.1 Sustainable Growth Rate

The sustainable growth rate (SGR), concept by Robert C. Higgins, of a firm is the maximum rate of growth in sales that can be achieved, given the firm's profitability, asset utilization, and desired dividend payout and debt (financial leverage) ratios. The sustainable growth rate is a measure of how much a firm can grow without borrowing more money. After the firm has passed this rate, it must borrow funds from another source to facilitate growth. Variables typically include the net profit margin on new and existing revenues; the asset turnover ratio, which is the ratio of sales revenues to total assets; the assets to equity ratio; and the retention rate, which is defined as the fraction of earnings retained in the business.

**SGR = ROE x (1- Dividend payment ratio)**

Sustainable growth models assume that the business wants to:

1) maintain a target capital structure without issuing new equity;

2) maintain a target dividend payment ratio; and

3) increase sales as rapidly as market conditions allow.

Since the asset to beginning of period equity ratio is constant and the firm's only source of new equity is retained earnings, sales and assets cannot grow any faster than the retained earnings plus the additional debt that the retained earnings can support. The sustainable growth rate is consistent with the observed evidence that most corporations are reluctant to issue new equity. If, however, the firm is willing to issue additional equity, there is in principle no financial constraint on its growth rate. Indeed, the sustainable growth rate formula is directly predicted on return on equity.

Economists and business researchers contend that achieving sustainable growth is not possible without paying heed to twin cornerstones:

- growth strategy and
- growth capability.

Companies that pay inadequate attention to one aspect or the other are doomed to fail in their efforts to establish practices of sustainable growth (though short-term gains may be realized). After all, if a company has an excellent growth strategy in place but has not put the necessary infrastructure in place to execute that strategy, long-term growth is impossible. The reverse is also true.

The very weak idea of sustainability requires that the overall stock of capital assets should remain constant. The weak version of sustainability refers to preservation of critical resources to ensure support for all, over a long-time horizon. The strong concept of sustainability is concerned with the preservation of resources under the primacy of ecosystem functioning. These are in line with the definition provided by the economists in the context of sustainable development at macro level.

| What makes an organisation sustainable? |
|---|
| In order to be sustainable, an organisation must:<br>➢ have a clear strategic direction;<br>➢ be able to scan its environment or context to identify opportunities for its work;<br>➢ be able to attract, manage and retain competent staff;<br>➢ have an adequate administrative and financial infrastructure;<br>➢ be able to demonstrate its effectiveness and impact in order to leverage further resources; and<br>➢ get community support for, and involvement in its work. |

*Source: CIVICUS "Developing a Financing Strategy".*

The sustainable growth model is particularly helpful in situations in which a borrower requests additional financing. The need for additional loans creates a potentially risky situation of too much debt and too little equity. Either additional equity must be raised, or the borrower will have to reduce the rate of expansion to a level that can be sustained without an increase in financial leverage.

Mature firms often have actual growth rates that are less than the sustainable growth rate. In these cases, management's principal objective is finding productive uses for the cash flows that exist in excess of their needs. Options available to business in such cases includes returning the money to shareholders through increased dividends or common stock repurchases, reducing the firm's debt load, or increasing possession of lower earning liquid assets. These actions serve to decrease the sustainable growth rate. Alternatively, these firms can attempt to enhance their actual growth rates through the acquisition of rapidly growing companies.

Growth can come from two sources: increased volume and inflation. The inflationary increase in assets must be financed as though it were real growth. Inflation increases the amount of external financing required and increases the debt-to-equity ratio when this ratio is measured on a historical cost basis. Thus, if creditors require that a firm's historical cost debt-to-equity ratio stay constant, inflation lowers the firm's sustainable growth rate.

| Mitsubishi Corporation (MC): New Strategic Direction (charting a new path toward sustainable growth) |
|---|
| Mitsubishi Corporation has abolished its traditional "*midterm management plan*" concept of committing to fixed financial targets three years in the future, in favour of a long-term, circa 2020 growth vision. The "*New Strategic Direction*" consists of basic concepts on management policy together with business and market strategies. It seeks to recognize the Company's value and upside potential as |

a *sogo shosha* capable of "*providing stable earnings throughout business cycles by managing a portfolio diversified by business model, industry, market and geography*".

MC remains dedicated to sustainable growth but as evidenced by its guiding philosophy, the "Three Corporate Principles", its business activities are even more committed to helping solve problems in Japan and around the world. Its chief goal is to contribute to sustainable societal growth on a global scale.

The summary of this New Strategic Direction is:

- Future pull approach eyeing 2020 with a vision to double the business by building a diversified but focussed portfolio.
- Clear portfolio strategy: Select winning businesses through proactive reshaping of portfolio.
- Grow business and deliver returns while maintaining financial discipline.

## 6.2 External Funding Requirement (EFR)

We know that to make any business grow, it is essential to increase both current and non-current assets. As discussed earlier, the Sustainable Growth Rate is the maximum rate of growth in sales that can be achieved, given the firm's profitability, asset utilization, desired dividend payout, and debt (financial leverage) ratios.

Similarly, management may sometimes have concerns about the Debt-to-Equity Ratio or Current Ratio. In such situations, to maintain a certain level of growth, it becomes necessary to determine the amount of External Funding Requirement (EFR) and its types. To compute this requirement and the type of funding, the following approaches can be used:

### 6.2.1 Analytical Approach

In this approach, we begin by analyzing each item on the balance sheet in relation to changes in sales and determine their amounts while considering prescribed conditions, such as maintaining specific Debt-to-Equity or Current Ratios, among others.

### 6.2.2 Formula based Approach

In this approach, we first calculate the amount of EFR using the following formula:

$$EFR = \frac{TA}{Sales} \times \Delta S - \frac{Payable\,and\,Liabilities}{Sales} \times \Delta S - mS_1(1 - d)$$

Where:

$\Delta S$ = Change in Sales

$S_1$ = Revised Sales

TA = Total Assets

Payable and Liabilities = Payables and liabilities that change spontaneously in accordance with level of sales.

m = Profit Multiplier or percentage of Net Profit after Tax

d = Dividend Pay-out Ratio

After that we use equations to compute the amount to be raised from different sources under the given conditions.

Let discuss an illustration to understand both the approaches.

### Illustration

The Balance Sheet of M/s. Sundry Ltd. as on 31-03-2023 is follows:

(₹ in lakhs)

| Liabilities | ₹ | Assets | ₹ |
|---|---|---|---|
| Share Capital | 3000 | Fixed Assets | 6000 |
| Reserves | 2000 | Inventory | 5000 |
| Long Term Loan | 4000 | Receivables | 2400 |
| Short Term Loan | 3000 | Cash | 600 |
| Payables & Provisions | 2000 | | |
| **Total** | **14000** | **Total** | **14000** |

Sales for the year was ₹ 6000 lakhs. The sales are expected to grow by 20% during the year. The profit margin and dividend pay-out ratio are expected to be 4% and 50% respectively.

The company further desires that during the current year Sales to Short Term Loan and Payables and Provision should be in the ratio of 4 : 3. Ratio of fixed assets to Long Term Loans should be 1.5. Debt Equity Ratio should not exceed 1.5.

You are required to determine:

(i) The amount of External Fund Requirement (EFR)

(ii) The amount to be raised from Short Term & Long Term Funds and issue of new Equity.

**Solution**

**(i) External Funds Requirement (EFR):**

| | (₹ in lakhs) |
|---|---|
| Expected sales (₹ 6000 + 20% of ₹ 6000) | 7200.00 |
| Profit margin @ 4% | 288.00 |
| Dividend payout ratio @ 50% | 144.00 |
| Balance to be ploughed back (A) | 144.00 |
| Additional funds required (₹ 14000 - ₹ 2000*) x 0.20 (B) | 2400.00 |
| **Balance to be met from external source (B - A)** | **2256.00** |

* As current liabilities shall also be increased proportionately with increase in sales.

**(ii)** Amount to be raised from different sources with following conditions:

- Sales to short term loans and payables & provisions 4:3
- Ratio of fixed assets to long term loans 1.5
- Debt equity ratio should not exceed 1.5

**(1) Amount to be raised from Short Term Funds:**

| | (₹ in lakhs) |
|---|---|
| New amount of short-term loans and payables & provision $\left(\frac{3}{4} \times 7200\right)$ | 5400 |
| Less: Existing Amount of short-term loans and payables & provision (2000 X 1.20 + 3000) | 5400 |
| Amount to be raised from short term funds | Nil |

**(2) Amount to be raised from Long Term Funds:**

| | (₹ in lakhs) |
|---|---|
| New fixed assets (₹ 6000 + 20% of ₹ 6000) | 7200 |
| New long-term loans as per given condition (₹ 7200/1.5) | 4800 |
| Less: Existing long-term loans | 4000 |
| Amount to be raised from Long term funds | 800 |

**(3) Amount to be raised from Equity:**

| | (₹ in lakhs) |
|---|---|
| Amount to be raised from external sources | 2256.00 |
| Less: Amount to be raised from short term funds | ---- |
| Less: Amount to be raised from Long term funds | 800.00 |
| Balance amount to be raised from the new Equity | 1456.00 |

***Alternative Solution as per Formula Approach***

**(i) External Funds Requirement (EFR)**

$$EFR = \left(\frac{TA}{S} - \frac{P}{S}\right) x\ \Delta S - N \times \text{Projected Sales} \times (1 - d)$$

Where,

TA = Total Assets

S = Current Sales

P = Payables and Provisions

ΔS = Change in Sales

N = Net Profit Margin Ratio

d = Dividend Payout Ratio

Accordingly,

$$EFR = \left(\frac{1,4000}{6000} - \frac{2000}{6000}\right) x\ 1200 - 0.04 \times 7200 \times 0.5 = ₹\ 2256 \text{ lakhs}$$

**(ii) Funds to be raised from Various Sources**

**(1)** Short Term Funds

Let X be the new Short-Term Loan then meeting the given condition the Additional Requirement shall be computed as follows:

$$\frac{4}{3} = \frac{6000 \times 1.2}{2000 \times 1.2 + X}$$

X = 3000.00

| | |
|---|---|
| New Short-Term Loans required | ₹ 3000.00 lakhs |
| Less: Existing | ₹ 3000.00 lakhs |
| Additional requirement | 0.00 lakhs |

**(2)** Long term funds

Let Y be the new Long -Term Loans then meeting the given condition the Additional Requirement shall be computed as follows:

$$1.5 = \frac{FA}{\text{Long term loans}}$$

$$1.5 = \frac{6000 \times 1.2}{Y}$$

Y = 4800

| | |
|---|---|
| New Long Term Loans | ₹ 4800.00 Lakhs |
| Existing | ₹ 4000.00 Lakhs |
| Additional Long Term Fund to be raised | ₹ 800.00 Lakhs |

**(3)** Equity to be raised

| | |
|---|---|
| EFR | ₹ 2256.00 Lakhs |
| Less: Amt. to be raised from Short Term Loans | 0.00 Lakhs |
| Amt. to be raised from Long term Loans | ₹ 800.00 Lakhs |
| Equity to be raised | ₹ 1456.00 Lakhs |

$$\text{New DER} = \frac{\text{Debt}}{\text{Shareholder's Fund}}$$

$$= \frac{4800}{3000 + 1456 + 2000 + 144} = 0.727$$

Thus, required condition is satisfied.

*ICAI answer: "Please refer paragraph 6" — SM paragraph 6 reproduced*

## 6. BALANCING FINANCIAL GOALS VIS-A-VIS SUSTAINABLE GROWTH

The concept of sustainable growth can be helpful for planning healthy corporate growth. This concept forces managers to consider the financial consequences of sales increases and to set sales growth goals that are consistent with the operating and financial policies of the firm. Often, a conflict can arise if growth objectives are not consistent with the value of the organization's sustainable

growth. Question concerning right distribution of resources may take a difficult shape if we take into consideration the rightness not for the current stakeholders but for the future stakeholders also. To take an illustration, let us refer to fuel industry where resources are limited in quantity and a judicial use of resources is needed to cater to the need of the future customers along with the need of the present customers. One may have noticed the save fuel campaign, a demarketing campaign that deviates from the usual approach of sales growth strategy and preaches for conservation of fuel for their use across generation. This is an example of stable growth strategy adopted by the oil industry as a whole under resource constraints and the long run objective of survival over years. Incremental growth strategy, profit strategy and pause strategy are other variants of stable growth strategy.

Sustainable growth is important to enterprise long-term development. Too fast or too slow growth will go against enterprise growth and development, so financial should play important role in enterprise development, adopt suitable financial policy initiative to make sure enterprise growth speed close to sustainable growth ratio and have sustainable healthy development.

**What makes an organisation financially sustainable?**

To be financially sustainable, an organisation must:

- have more than one source of income;
- have more than one way of generating income;
- do strategic, action and financial planning regularly;
- have adequate financial systems;
- have a good public image;
- be clear about its values (value clarity); and
- have financial autonomy.

*Source: CIVICUS "Developing a Financing Strategy".*

## 6.1 Sustainable Growth Rate

The sustainable growth rate (SGR), concept by Robert C. Higgins, of a firm is the maximum rate of growth in sales that can be achieved, given the firm's profitability, asset utilization, and desired dividend payout and debt (financial leverage) ratios. The sustainable growth rate is a measure of how much a firm can grow without borrowing more money. After the firm has passed this rate, it must borrow funds from another source to facilitate growth. Variables typically include the net profit margin on new and existing revenues; the asset turnover ratio, which is the ratio of sales revenues to total assets; the assets to equity ratio; and the retention rate, which is defined as the fraction of earnings retained in the business.

**SGR = ROE x (1- Dividend payment ratio)**

Sustainable growth models assume that the business wants to:

1) maintain a target capital structure without issuing new equity;

2) maintain a target dividend payment ratio; and

3) increase sales as rapidly as market conditions allow.

Since the asset to beginning of period equity ratio is constant and the firm's only source of new equity is retained earnings, sales and assets cannot grow any faster than the retained earnings plus the additional debt that the retained earnings can support. The sustainable growth rate is consistent with the observed evidence that most corporations are reluctant to issue new equity. If, however, the firm is willing to issue additional equity, there is in principle no financial constraint on its growth rate. Indeed, the sustainable growth rate formula is directly predicted on return on equity.

Economists and business researchers contend that achieving sustainable growth is not possible without paying heed to twin cornerstones:

- growth strategy and
- growth capability.

Companies that pay inadequate attention to one aspect or the other are doomed to fail in their efforts to establish practices of sustainable growth (though short-term gains may be realized). After all, if a company has an excellent growth strategy in place but has not put the necessary infrastructure in place to execute that strategy, long-term growth is impossible. The reverse is also true.

The very weak idea of sustainability requires that the overall stock of capital assets should remain constant. The weak version of sustainability refers to preservation of critical resources to ensure support for all, over a long-time horizon. The strong concept of sustainability is concerned with the preservation of resources under the primacy of ecosystem functioning. These are in line with the definition provided by the economists in the context of sustainable development at macro level.

| What makes an organisation sustainable? |
|---|
| In order to be sustainable, an organisation must:<br>➢ have a clear strategic direction;<br>➢ be able to scan its environment or context to identify opportunities for its work;<br>➢ be able to attract, manage and retain competent staff;<br>➢ have an adequate administrative and financial infrastructure;<br>➢ be able to demonstrate its effectiveness and impact in order to leverage further resources; and<br>➢ get community support for, and involvement in its work. |

*Source: CIVICUS "Developing a Financing Strategy".*

The sustainable growth model is particularly helpful in situations in which a borrower requests additional financing. The need for additional loans creates a potentially risky situation of too much debt and too little equity. Either additional equity must be raised, or the borrower will have to reduce the rate of expansion to a level that can be sustained without an increase in financial leverage.

Mature firms often have actual growth rates that are less than the sustainable growth rate. In these cases, management's principal objective is finding productive uses for the cash flows that exist in excess of their needs. Options available to business in such cases includes returning the money to shareholders through increased dividends or common stock repurchases, reducing the firm's debt load, or increasing possession of lower earning liquid assets. These actions serve to decrease the sustainable growth rate. Alternatively, these firms can attempt to enhance their actual growth rates through the acquisition of rapidly growing companies.

Growth can come from two sources: increased volume and inflation. The inflationary increase in assets must be financed as though it were real growth. Inflation increases the amount of external financing required and increases the debt-to-equity ratio when this ratio is measured on a historical cost basis. Thus, if creditors require that a firm's historical cost debt-to-equity ratio stay constant, inflation lowers the firm's sustainable growth rate.

| Mitsubishi Corporation (MC): New Strategic Direction (charting a new path toward sustainable growth) |
|---|
| Mitsubishi Corporation has abolished its traditional "*midterm management plan*" concept of committing to fixed financial targets three years in the future, in favour of a long-term, circa 2020 growth vision. The "*New Strategic Direction*" consists of basic concepts on management policy together with business and market strategies. It seeks to recognize the Company's value and upside potential as |

a *sogo shosha* capable of "*providing stable earnings throughout business cycles by managing a portfolio diversified by business model, industry, market and geography*".

MC remains dedicated to sustainable growth but as evidenced by its guiding philosophy, the "Three Corporate Principles", its business activities are even more committed to helping solve problems in Japan and around the world. Its chief goal is to contribute to sustainable societal growth on a global scale.

The summary of this New Strategic Direction is:

- Future pull approach eyeing 2020 with a vision to double the business by building a diversified but focussed portfolio.
- Clear portfolio strategy: Select winning businesses through proactive reshaping of portfolio.
- Grow business and deliver returns while maintaining financial discipline.

## 6.2 External Funding Requirement (EFR)

We know that to make any business grow, it is essential to increase both current and non-current assets. As discussed earlier, the Sustainable Growth Rate is the maximum rate of growth in sales that can be achieved, given the firm's profitability, asset utilization, desired dividend payout, and debt (financial leverage) ratios.

Similarly, management may sometimes have concerns about the Debt-to-Equity Ratio or Current Ratio. In such situations, to maintain a certain level of growth, it becomes necessary to determine the amount of External Funding Requirement (EFR) and its types. To compute this requirement and the type of funding, the following approaches can be used:

### 6.2.1 Analytical Approach

In this approach, we begin by analyzing each item on the balance sheet in relation to changes in sales and determine their amounts while considering prescribed conditions, such as maintaining specific Debt-to-Equity or Current Ratios, among others.

### 6.2.2 Formula based Approach

In this approach, we first calculate the amount of EFR using the following formula:

$$EFR = \frac{TA}{Sales} \times \Delta S - \frac{Payable\,and\,Liabilities}{Sales} \times \Delta S - mS_1(1 - d)$$

Where:

$\Delta S$ = Change in Sales

$S_1$ = Revised Sales

TA = Total Assets

Payable and Liabilities = Payables and liabilities that change spontaneously in accordance with level of sales.

m = Profit Multiplier or percentage of Net Profit after Tax

d = Dividend Pay-out Ratio

After that we use equations to compute the amount to be raised from different sources under the given conditions.

Let discuss an illustration to understand both the approaches.

### Illustration

The Balance Sheet of M/s. Sundry Ltd. as on 31-03-2023 is follows:

(₹ in lakhs)

| Liabilities | ₹ | Assets | ₹ |
|---|---|---|---|
| Share Capital | 3000 | Fixed Assets | 6000 |
| Reserves | 2000 | Inventory | 5000 |
| Long Term Loan | 4000 | Receivables | 2400 |
| Short Term Loan | 3000 | Cash | 600 |
| Payables & Provisions | 2000 | | |
| **Total** | **14000** | **Total** | **14000** |

Sales for the year was ₹ 6000 lakhs. The sales are expected to grow by 20% during the year. The profit margin and dividend pay-out ratio are expected to be 4% and 50% respectively.

The company further desires that during the current year Sales to Short Term Loan and Payables and Provision should be in the ratio of 4 : 3. Ratio of fixed assets to Long Term Loans should be 1.5. Debt Equity Ratio should not exceed 1.5.

You are required to determine:

(i) The amount of External Fund Requirement (EFR)

(ii) The amount to be raised from Short Term & Long Term Funds and issue of new Equity.

**Solution**

**(i) External Funds Requirement (EFR):**

| | (₹ in lakhs) |
|---|---|
| Expected sales (₹ 6000 + 20% of ₹ 6000) | 7200.00 |
| Profit margin @ 4% | 288.00 |
| Dividend payout ratio @ 50% | 144.00 |
| Balance to be ploughed back (A) | 144.00 |
| Additional funds required (₹ 14000 - ₹ 2000*) x 0.20 (B) | 2400.00 |
| **Balance to be met from external source (B - A)** | **2256.00** |

* As current liabilities shall also be increased proportionately with increase in sales.

**(ii)** Amount to be raised from different sources with following conditions:

- Sales to short term loans and payables & provisions 4:3
- Ratio of fixed assets to long term loans 1.5
- Debt equity ratio should not exceed 1.5

**(1) Amount to be raised from Short Term Funds:**

| | (₹ in lakhs) |
|---|---|
| New amount of short-term loans and payables & provision $\left(\frac{3}{4} \times 7200\right)$ | 5400 |
| Less: Existing Amount of short-term loans and payables & provision (2000 X 1.20 + 3000) | 5400 |
| Amount to be raised from short term funds | Nil |

**(2) Amount to be raised from Long Term Funds:**

| | (₹ in lakhs) |
|---|---|
| New fixed assets (₹ 6000 + 20% of ₹ 6000) | 7200 |
| New long-term loans as per given condition (₹ 7200/1.5) | 4800 |
| Less: Existing long-term loans | 4000 |
| Amount to be raised from Long term funds | 800 |

**(3) Amount to be raised from Equity:**

| | (₹ in lakhs) |
|---|---|
| Amount to be raised from external sources | 2256.00 |
| Less: Amount to be raised from short term funds | ---- |
| Less: Amount to be raised from Long term funds | 800.00 |
| Balance amount to be raised from the new Equity | 1456.00 |

***Alternative Solution as per Formula Approach***

**(i) External Funds Requirement (EFR)**

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| Additional Long Term Fund to be raised | ₹ 800.00 Lakhs |

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$$\text{New DER} = \frac{\text{Debt}}{\text{Shareholder's Fund}}$$

$$= \frac{4800}{3000 + 1456 + 2000 + 144} = 0.727$$

Thus, required condition is satisfied.